KAISER v. ATKINS et al

21CV44871

DEFENDANT'S APPLICATION FOR PRELIMINARY INJUNCTION

This is a civil dispute between former romantic partners involving unfulfilled promises and comingled assets. The operative pleading contains two causes of action: partition of real and personal property; and breach of oral contract to repay personal loans. The action has been pending for over two years, and is presently scheduled for trial on 11/16/22. The parties have attempted to the resolve their differences without resort to judicial intervention, and in fact brokered a settlement agreement regarding the second (breach of oral contract) cause of action (though issues with that settlement apparently persist). There is apparently an agreement to buy out or sell the property, which is presently alleged to be under consensual forbearance from a nonjudicial foreclosure sale.

Before the Court this day is the specially-set hearing on plaintiff's application for a preliminary injunction to presumably halt the nonjudicial foreclosure sale potentially taking place soon. Although this Court granted a temporary restraining order on 09/20/22, the court file does not reflect any proof of service on U.S. Bank, N.A. Rushmore Loan Management Services, or any other entity responsible for the alleged nonjudicial foreclosure. In addition, since the filing of the ex parte request, the landscape has changed: there is in place a forbearance agreement through the date of trial. Since California does not permit dual tracking, this forbearance agreement – provided that the parties comply therewith – provides the necessary breathing room for plaintiff and defendant to list the property for sale. Moreover, the application for preliminary injunction does not include any legal basis by which this Court can stop Rushmore from foreclosing on the property if the forbearance agreement is breached. To the extent plaintiff can show that the equity she receives from a foreclosure sale was less than what she would have realized going to market, her recourse is against defendant, not Rushmore. Application for preliminary injunction DENIED without prejudice. The TRO is vacated.

The Clerk shall provide notice of this Ruling to the parties forthwith. No CCP §1019.5 or CRC 3.1312 order shall be required.

SANCHEZ et al v. SIMPSON et al

21CV46351

PLAINTIFFS' APPLICATION FOR PRELIMINARY INJUNCTION

This is a civil action stemming from an poorly conceived real estate transaction between friends, neighbors, and distant cousins. The plaintiffs – elderly and/or infirm – sold their residence to defendants for $356,000, but obtained no cash in the deal. Instead, plaintiffs agreed to pay all escrow fees and carry back the entire purchase price (minus $1,000) as a promissory note bearing 3% interest. Based on the amortization schedule provided by escrow, plaintiffs were not due to be paid in full until after two of three plaintiffs have reached the age of 107. Plaintiffs allege in their Complaint that many of the terms "understood" by the parties did not make it into the Residential Purchase Agreement actually signed by the parties, such as defendants' obligation to secure financing to pay off the promissory note in due course. There are also issues surrounding plaintiffs' access to the property to retrieve personal effects left behind after the close of escrow.

Before the Court is plaintiffs' application for a preliminary injunction. Based on the initial papers, this Court issued in plaintiffs' favor a TRO, barring defendants from (1) selling the property, (2) selling or otherwise disposing of plaintiffs' personal effects left at the property, and/or (3) altering the property without plaintiffs' consent. The hearing on the preliminary injunction was set for today, with a schedule for both sides to submit additional briefing, pleadings, or documents; nothing further was filed by any party.

A preliminary injunction is an equitable remedy designed to preserve the existing status quo until the dispute between the parties can be finally resolved on the merits. Preliminary injunctions are generally available to avoid waste (CCP §526(a)(2)), to keep a party from violating the rights of another (CCP §526(a)(3)), and whenever sufficient grounds exist pursuant to caselaw (CCP §527(a)), such as when the applicant has demonstrated a likelihood of prevailing on the merits and yet is likely to suffer in the interim irreparable harm which cannot be adequately addressed with money. Courts refer to this as a sliding scale of considerations – how likely the party is to win versus how much harm it will suffer awaiting its day in court. (See *White v. Davis* (2003) 30 Cal.4th 528, 554; *Butt v. State of California* (1992) 4 Cal.4th 668, 677-678; *Stevenson v. City of Sacramento* (2020) 55 Cal.App.5th 545, 551; *Amgen Inc. v. Health Care Services* (2020) 47 Cal.App.5th 716, 731.)

Looking first to the Fifth Cause of Action for Conversion, conversion is the wrongful exercise of dominion over the property of another. The elements of a conversion claim are: (1) the plaintiff's ownership or right to possession of the property; (2) the